TEAM PROJECT 1

Business Running Case:

Investing in a New In-House Microbrewery?

Team 7:

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MET AD715: Quantitative & Qualitative Managerial Decision-Making

(Fall 2025)

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Executive Summary

Buttermilk & Bourbon, a well-established Southern cuisine restaurant in Boston's Back Bay, is exploring investing in an in-house microbrewery, to offer house-made craft beers to its patrons in a bid to enhance guest experience, drive revenue, and deepen brand differentiation. Despite slowing growth in the craft beer industry, Boston is seeing a strong demand for locally produced, and experiential food and beverage offerings. With our recommended differentiation strategy, we assess the feasibility of this venture and describe the financial and marketing implications for opening a microbrewery while providing recommendations to meet the restaurant's goals driven by evolving consumer demand and a desire to enhance menu offerings and diversify revenue streams to further drive profit.

Key Findings:

- The Break-even Analysis - Indicates that Buttermilk & Bourbon's in-house microbrewery will begin generating profit once total annual sales reach approximately $322,300, confirming that projected Year 1 revenues comfortably exceed this threshold and validating the project's financial feasibility.
- Pricing Validation - A What-if scenario analysis confirmed that our suggested premium pricing of $9.50 is visibly more efficient as compared to the low tier market price, maximizing our contribution margin at the current sales volume. Goal Seek analysis indicated that in order to achieve our targeted net profit at a lower price, we will have to increase our sales volume by a whopping 53%.
- Volume Requirements - Our Goal Seek analysis examined how to be able to function at a lower price, we will have to increase our sales volume by a whopping 53% to be able to

reach the same profit as our current pricing. This is not sustainable and further validates our strategy of premium pricing and focusing on quality and brand value rather than price competition.

- Marketing (4Ps, SWOT, PESTEL) - Insights from marketing analyses guided our decision to pursue a differentiation strategy supported by high-impact promotions, positioning Buttermilk & Bourbon's microbrewery as a premium, locally focused, and experience-driven brand. These analyses highlighted opportunities in Boston's market, leading us to emphasize quality, storytelling, and community engagement over price competition.
- Recommendation - Launching an in-house microbrewery is strategically and financially feasible and strengthens Buttermilk & Bourbon's brand identity, supported by premium pricing, unique curated pairings, and targeted marketing.

Introduction

Overall Goals and Objectives

Buttermilk & Bourbon is a long standing establishment with a core competency in Southern cuisine. The restaurant has built its identity around bringing people together and creating a warm, community-driven dining experience. The idea of opening an in-house microbrewery stems from that same vision to grow the brand in a way that feels authentic yet adds something new and exciting for its customers. We aim to leverage the restaurant's strength in Southern flavors, by introducing a series of house-made craft beers that pair perfectly with its menu as a natural next progression to create a more holistic Southern dining experience where food and drink connect harmoniously.

From a business standpoint, opening a microbrewery creates new revenue streams through in-house beer sales, wholesale partnerships, and branded products, while staying true to the brand's Southern roots. It will also allow the business to offer its customers a unique value proposition and reach a wider audience, increasing its market share. The long-term vision is to turn Buttermilk & Bourbon into a destination brand, a place known for both its food and its craft beers.

Primary Goals and Objectives:

- Enhance the guest experience by offering exclusive house-brewed beers designed to complement the Southern-inspired menu and appeal to customer preferences, creating additional demand and opportunities for highly profitable growth.

- Increase market share and profitability by diversifying revenue streams through in-house beer sales and wholesale distribution via local partnerships.
- Build brand visibility and loyalty by participating in Boston's craft beer events, hosting tasting nights, and forming community collaborations.
- Strengthen Buttermilk & Bourbon's brand identity by blending Southern culinary tradition with Boston's craft brewing culture.

Overall, opening a microbrewery represents a creative and strategic move for Buttermilk & Bourbon as it evolves to meet new customer expectations.

Industry Trends

The craft beer sector in US, and Massachusetts in particular, shows trends indicative of a mature market with production by independent craft breweries down roughly 3.9% from 2023 to 2024 (Brewers Association, 2025) and the total number of craft breweries in June 2025 going down by approximately 1% year-on-year, signalling consolidation (Gribbins, 2025). This is coupled with shifting consumer behaviours where younger drinkers are opting for non-alcoholic beers and cleaner flavors (Weitz, 2025). Despite these trends, around 10 new breweries are expected to open in 2025. Massachusetts boasts more than 260 craft-beverage businesses distributed widely across 130 cities and towns, reflecting the vast ecosystem for craft and local drinking experiences (Massachusetts Brewery Industry stats, 2025). In a mature market, differentiation becomes key and by employing this strategy for Buttermilk & Bourbon, we aim to show how we can successfully reach the goals of the restaurant despite a stagnant market.

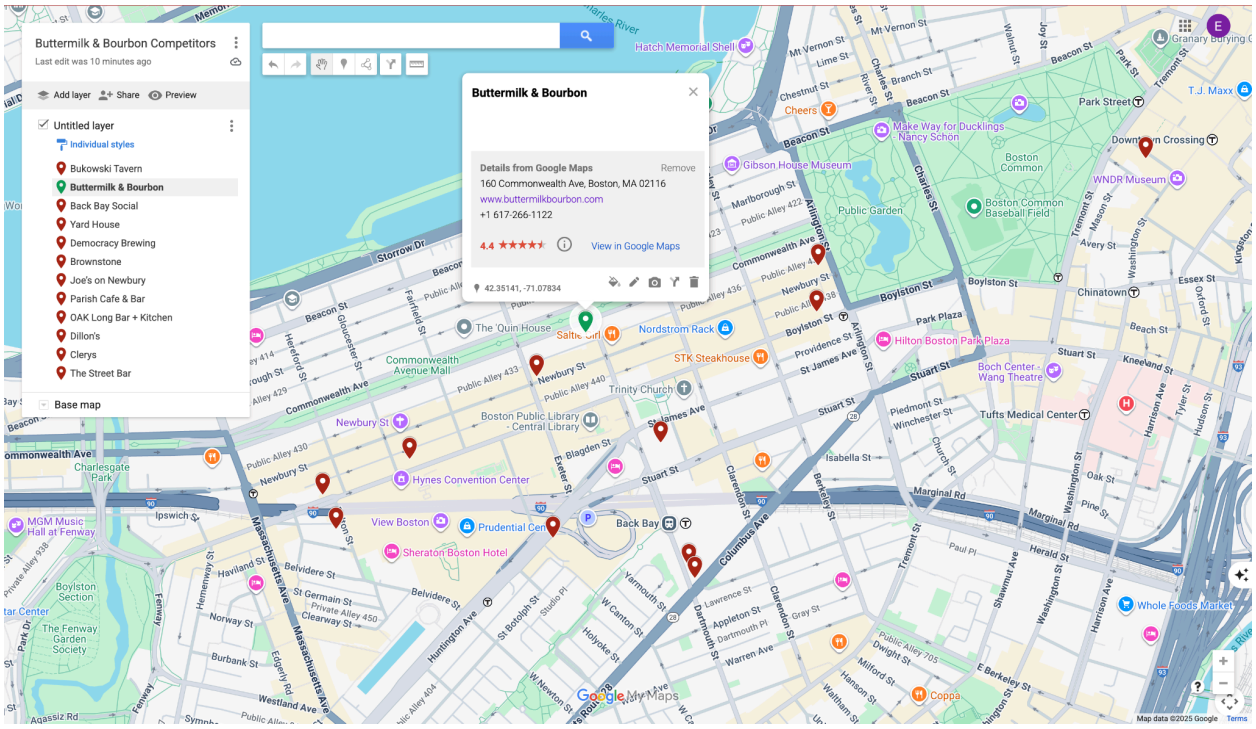
Target Market

Appealing to Our Target Market of Boston Locals & Tourists

Buttermilk & Bourbon's core audience is urban, socially active adults aged 25–45 with moderate to high disposable incomes who value crafted dining, premium drinks, and vibrant social spaces. This aligns well with Back Bay's high-income, educated demographic, with a median household income of $115,000–$129,000 (Boston Planning & Development Agency, 2023; U.S. Census Bureau, ACS). Boston households spend about $5,687 annually on dining, with average restaurant checks of $60–$75 (U.S. Bureau of Labor Statistics, 2024; Bain, 2025). The restaurant's estimated per-guest spend of $50–$90 fits this profile, positioning it well for a successful microbrewery expansion. By producing locally brewed craft beers exclusive to the Back Bay location, Buttermilk & Bourbon creates added value for its local audience by offering an experience rooted in identity and authenticity that large scale breweries or chain restaurants cannot replicate. We aim to provide a distinctive premium experience rather than competing on price with mass market establishments.

Back Bay's central location makes it a key destination for Boston's 22.7 million annual visitors, who spent nearly $12.2 billion in 2023 (Massachusetts Office of Travel and Tourism, 2024), with 20 to 30 percent typically going toward food and beverage (Greater Boston Convention & Visitors Bureau, 2023; VisitMA, 2023). The area's pedestrian traffic, estimated at 30,000 to 60,000 people daily, provides strong exposure to both locals and tourists(Unacast, 2023). Visitors are drawn to authentic craftsmanship and memorable dining experiences, and Buttermilk & Bourbon offers a chance to enjoy the rich flavors of Southern cuisine, an iconic part of American culture, right in Boston. By pairing this with locally brewed craft beers, the restaurant gives guests a "sip of the South", elevating dining into a curated journey.

Competitor Landscape



*Competitors are labelled as the red drop pins. Interactive map available here: https://www.google.com/maps/d/edit?mid=1D_nVownXB1ZpU-otXpopqjfyG3XLZ88&usp=sharing

The Back Bay neighbourhood hosts a vibrant and competitive dining scene, attracting both local residents and tourists seeking premium dining experiences. Within a short radius of Buttermilk & Bourbon's location at 160 Commonwealth Ave, several notable competitors serve similar target audiences who value quality food, (craft) beer beverages, and a lively social atmosphere.

Key competitors include Back Bay Social, OAK Long Bar + Kitchen, Joe's on Newbury, Brownstone, and Dillion's. These restaurant establishments offer contemporary American or upscale casual cuisine paired with curated drink menus, often featuring wines, cocktails, draught beers, and of course, craft beers. While they provide a strong social atmosphere and consistent

high quality food, few truly emphasize a cohesive culinary identity or a distinct pairing of cuisine and locally crafted beverages.

Unlike tap houses or breweries such as Yard House or Democracy Brewing, which offer broad mixed-cuisine menus, Buttermilk & Bourbon is positioned as a premium Southern cuisine restaurant offering in house brewed craft beer and elevated comfort dining. This combination sets the brand apart by blending Boston's (craft) beer culture with the rich flavors of Southern cuisine, creating an appealing culturally rooted experience for both locals and visitors to enjoy. This positioning allows Buttermilk & Bourbon to stand out as a distinctive competitor within Boston's otherwise saturated restaurant market and garner a loyal customer base enticed to keep returning.

Managerial Decision-Making Process

Marketing Management (4 P's)

Product

The list of in-house and wholesale craft beer products for Buttermilk & Bourbon were decided after analyzing the restaurant's menu to understand which beers would complement the various Southern dishes the best and enhance the customers' overall dining experience. We have carefully considered the beers' maltiness, smoothness, depth and flavor undertones to curate experience-focused craft pairings that complement the restaurant's menu. Keeping this in mind, the retail craft beer lineup consists of Light Wheat, Red Wheat, Pale Ale, Nut Brown Ale, Pilsner All-Malt and Bavarian Lager All-Malt. A detailed table that summarizes the restaurant pairings for these beers based on Buttermilk & Bourbon's menu as well as a description of the beers'

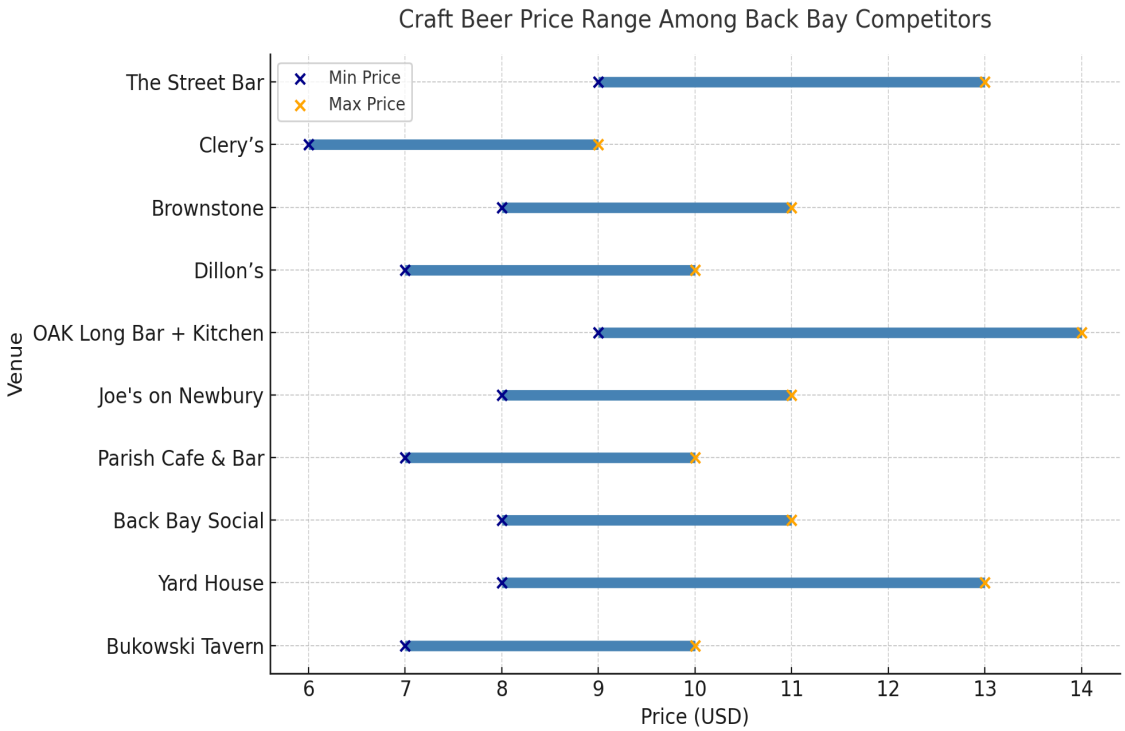
tasting notes to understand how they integrate well with the Southern flavors can be found in figure 1 in the appendix.

The two wholesale beers we recommend distributing to other restaurants and pubs are Pilsner All-Malt and Bavarian Lager All-Malt. These beers are versatile, approachable and have wide appeal which make them ideal for broad distribution. They also have a stable shelf life making it suitable for storage and distribution.

We have chosen to vary the overall productive levels for each of the 6 retail craft beers based on menu pairing frequency and demand potential. For example, Red Wheat and Light Wheat beer have the highest production allocation as they paired with the most number of menu items and have a more versatile all-year-round demand potential. We also propose to adjust production levels throughout the year to reflect changing seasonal preferences of the beers. Lighter, crisp and refreshing beers like Pilsner, Red Wheat and Light Wheat have higher output volume in warm summer months during times of more outdoor dining, whereas richer, maltier and darker beers like Nut Brown Ale are more seasonal in fall and winter when they will be heavily featured with comfort foods.

For the two wholesale beers, we have decided to put a slightly higher production focus on Pilsner (55%) compared to Bavarian Lager (45%) as we anticipate Pilsner to have a broader appeal due to its lighter, more refreshing flavor profile.

Price



Craft Beer Price Range Among Back Bay Competitors

See Figure 2: Beer Product Name & Prices.

This comparative graph shows the craft beer price ranges among major Back Bay competitors. Most venues fall between $7 to $11 per pint.

Given Buttermilk and Bourbon's location in Boston's Back Bay, a district characterized by high rent, discerning customers, and a competitive restaurant environment, the proposed pricing strategy must balance brand positioning, market alignment, and profitability. The craft beer program should be designed to convey a sense of premium quality, emphasizing craftsmanship and exclusivity rather than accessibility associated with standard offerings. At the same time,

prices should remain consistent with the local market context to ensure that the restaurant is perceived as a premium choice without exceeding the acceptable range for Back Bay consumers.

The Back Bay market supports premium pricing because of both the elevated operating costs and the presence of customers who are willing to pay for superior quality and experience. The competitive mapping of nearby establishments indicates a concentration of strong players in the craft beer segment, which underscores the importance of differentiation through product quality, presentation, and overall brand experience. Positioning Buttermilk and Bourbon's craft beer slightly above the mid-market range, at approximately nine to ten dollars per pint, places the brand in the premium segment while remaining accessible to both local patrons and visiting guests.

This pricing strategy not only ensures sustainable profit margins by accounting for material, labour, and overhead costs but also reinforces the restaurant's premium image and menu pricing. The resulting profitability can be strategically reinvested into enhancing product quality, service standards, and ambiance, strengthening Buttermilk and Bourbon's reputation as a leading craft beer destination within the Back Bay area.

Place

The table below shows the projected structure of annual sales of the craft beer products in terms of retail and wholesale for financial years 1 through 3.

	Retail (%)	**Wholesale (%)**
FY1	39.5	60.5
FY2	40.5	59.5
FY3	42.0	58.0

We anticipate increasing retail sales year on year because of a growing market demand for our products leading to a larger and more loyal customer base as more customers try our craft beer pairings.

Promotion

Our marketing and advertising campaign will leverage a multi-channel strategy designed to generate awareness, build anticipation, and foster community engagement around the launch of our in-house microbrewery. With 10% of Year 1 revenue ($107,900) allocated to promotional efforts, our approach balances digital presence, experiential marketing, and local partnerships to maximize impact and long-term brand growth. See Figure 3: Advertising Costs Breakdown Table in the appendices.

Digital Media Firm

To maintain the polished, high-quality brand aesthetic Buttermilk & Bourbon is known for, we will partner with a digital media firm specializing in hospitality marketing. This firm will manage content creation, posting, and engagement for Instagram, the restaurant's website, and a new TikTok account, ensuring a consistent and elevated brand voice.

Content will include behind-the-scenes brewery footage, seasonal beer drops and co-presented menu pairings by the chef and masterbrewer explaining how the beer's ingredients and brewing notes complement Southern flavors which will deepen our brand storytelling. We've budgeted $34,500 for Year 1 and will increase 15% annually to support growth and audience engagement.

Trade Shows

To position the microbrewery as a wholesale partner for local distributors and retailers, we've allocated $14,500 to participate in three trade shows in Year 1. This will allow us to showcase our craft beer offerings, establish industry relationships, and explore distribution opportunities. Beginning in Year 2, we will increase our participation to four shows annually to expand reach.

Launch Tasting Event

To generate excitement for the microbrewery, we will host an annual ticketed launch tasting event featuring exclusive themed flights like *"Taste the South"* which will feature small plates of Southern signature dishes from the restaurant's menu paired with mini in-house brewed craft beers, each immersing our customers and taking them on a flavor journey through the South. This aligns with Buttermilk & Bourbon's existing "Down and Dirty Club's" monthly events, offering members early access and exclusive invites. We've allocated $19,500 annually to cover food, beverages, and staffing. The event will be promoted through social media and the club's network to attract loyal customers, create media buzz, and collect direct customer feedback to refine offerings.

Public Relations & Media Outreach

Strategic PR efforts will include inviting food journalists, local influencers, and prominent food bloggers (e.g. Edible Boston) on a monthly basis. In exchange for complimentary food and drinks, invited guests will share their Southern food-and-beer pairing experiences on social media, generating organic buzz. We plan to host 12 influencer collaborations annually, allocating $2,400 per year covering an average of $200 per meal to allow them to fully experience and promote our menu offerings.

Local Events

To strengthen our community presence, we will participate as a vendor in five local beer and food festivals (e.g. Boston Beer and BBQ Fest and Massachusetts Craft Brewers Festival) per year, especially during peak summer months (June–October). This grassroots approach allows us to build local loyalty and increase brand visibility among craft beer enthusiasts within the local Boston community. By allocating $15,000 annually (approx. $3,000 per event), we can cover booth fees, staffing, and operational costs. See Figure 4: Estimated Cost Breakdown of Festivals in Boston.

Local Sponsorships

We plan to sponsor local college sports teams and community events to strengthen Buttermilk & Bourbon's presence as a recognizable and trusted neighborhood establishment. These strategic partnerships at high-traffic community gatherings will help us build goodwill, increase visibility, and connect with local residents. We've allocated $19,500 for this initiative.

Out-of-Home Advertising

We will also invest $2500 in targeted print and transit advertising to drive traffic to the restaurant. Ads will be placed on MBTA stations near our location (Back Bay Station, Copley), as well as near major stadiums and concert venues to target hyperlocal customers. This will encourage event-goers to visit Buttermilk & Bourbon after shows or games, capturing impulse traffic and expanding our evening crowd.

Financial Management:

Employee and staffing

We plan to start off with a small foundational team of a total of seven employees. This number helps us maintain a lean core team while also being up to the mark in the financial aspects.

We will be employing one office assistant ($30,000) for administrative assistance. They will be responsible for liaising with the digital media firm in charge of generating all digital marketing content for the restaurant. One salesperson ($70,000) will be assigned to coordinate with our wholesale partner which we plan to keep on an external contract. We will have a brewmaster ($100,000), who is an executive employee, in charge of managing the microbrewery system including production and quality control, recipe development and ingredient formulation of the craft beers. The last bracket would be the consultants ($90,000), who will be providing necessary specialized support and overseeing the entire operation. These salary figures in brackets are based on current industry standards in Boston, Massachusetts (Glassdoor, 2025).

We have also accounted for a planned wage inflation in this budget. There will be a 10% inflation for our salesperson, considering the importance of the role, and a 5% increase for the administrative staff and executive personnel for the upcoming years. This ensures the overall motivation and talent retention at Buttermilk & Bourbon.

General and administrative

This section outlines all the overhead and administrative costs that the brewery may incur during the first fiscal year. These expenses cover all the important operational costs that provide necessary support to the business but are not directly involved in production. The total general and administrative expenses for FY1 are $48,500.

Breakdown of expenses:

- Office supplies ($500): This includes all of the stationery and other office related costs that are required for day to day functions.
- Utilities and waste disposal ($6600): This includes electricity ($4200), heat ($500), wifi and phone ($700) and private garbage disposal service ($1200).
- Insurance ($10,000): Represents the business insurance premium.
- Depreciation ($22,000): Represents the reduction in the value of our assets over time.
- Permits and licenses ($8,400): This includes the fees for obtaining necessary licensing required for operating a microbrewery in Massachusetts. See Figure 5: Permits and Licenses Breakdown Table in appendices.
- Computer and Printing costs ($1000): This represents the costs associated with leasing our computers and printers for office use.

Marketing Costs

We have allotted $107,900 to marketing costs which is 10% of our total revenue for the first year. For a deeper understanding, please reference the "promotion" section of our 4P's model and see Figure 3: Advertising Cost Breakdown Table in the appendices.

Debt and Financing

To fund the construction and launch of the in-house microbrewery, Buttermilk & Bourbon will use a $200,000 small-business loan at 6.5% interest over 36 months (3 years). Payments are made monthly, which totals about $73,548 per year in FY1–FY3 (principal + interest). This structure aligns with the project's three-year planning horizon and keeps ownership undiluted

while providing enough capital for acquiring the microbrewery system, permits, light renovations, initial inventory, setup of the storage unit, and a short-term working-capital buffer.

Rent and Facilities

The Back Bay location operates in a premium commercial district with average rent costs ranging from $45 to $55 per square foot annually (Boston Planning & Development Agency, 2024). To accommodate the microbrewery system, the restaurant will lease an additional 200 square feet of storage and brewing support space at approximately $30 per square foot, resulting in a total annual rent of $6,000, included as a fixed expense.

The facility will integrate a compact 3-barrel brewing system within the existing layout to maintain operational efficiency without reducing dining capacity. Renovation costs covered under the business loan include plumbing, ventilation, and safety modifications to comply with Massachusetts ABCC standards and Boston Fire and Health Codes.

This efficient use of space enables the restaurant to control overhead expenses while still achieving the production capacity required for in-house brewing. The minimal expansion of leased space contributes to a lower fixed cost base, supporting a sustainable break-even point and enhancing overall profitability.

Financial Market Indicators

We have kept the ROI at 5% as it is neither too aggressive nor too conservative, it is kept at that level because it represents an acceptable return on investment that is appropriate for a business of this scale in its early stages.

Risk free rate is considered to be the foundation of all investment returns. This number represents the ROI that virtually has zero risk, which in this case is kept at 1%.

Application of Decision Support Tools:

Marketing Management

PESTEL Analysis

Analysing Buttermilk & Bourbon's external environment can help the restaurant owner mitigate threats as well as leverage opportunities that are unveiled.

Politically, tariffs on imported craft beers could stimulate the local economy by raising demand for domestically produced beer products, providing a gateway for small local restaurants to promote and increase the sales of their in-house brewed beers (Brewers Association, 2025). However, when imposed on imported raw materials like hops and malt, the overall cost of beer production also rises, putting pressure on profit margins which are harder to absorb for smaller establishments as compared to large beer-making corporations. This, coupled with a significant upfront capital investment required to set up the microbrewery system, has the potential to narrow the economic value created (Value - Cost) by the restaurant. To curb this we aim to position the restaurant's new lineup of in-house craft beers as high-quality, locally-made and *the* perfect pair to fan-favorite Southern classics. Pursuing this differentiation strategy, while also exploring avenues for effective cost containment, such as leveraging economies of scope (described later in the report), shapes the restaurant's unique value proposition to our customers, ensuring we achieve profitability via a differentiation advantage. We will also aim to increase the

perceived value of our beers by implementing an effective marketing campaign discussed earlier in the report, to complete our differentiation strategy.

Massachusetts also has stringent alcohol promotion laws, most notably its ban on Happy hour discounts (Commonwealth of Massachusetts). Such constraints set on traditional discount-based marketing means we need to pivot our marketing strategy to focus on highlighting the unique value proposition we bring to customers, which is the appeal of craft beers carefully and intentionally curated to be paired with corresponding Southern menu items offered at the restaurant as well as the dining journey the customer experience to attract more customers and justify premium pricing for the products.

Economically, while tariff-driven price increases could dampen our customer's purchasing power, we aim to leverage Massachusetts' local economic push for supporting small-scale brewer's locally-made products (Massachusetts Department of Agricultural Resources, 2025) through a "Drink Local" messaging to tap into our customers' civic pride and build brand loyalty which will drive sales of the in-house craft beers.

Socioculturally, we are seeing a shift in consumer drinking preferences with the rise of "sober-curious" movements and more health-conscious drinking (Cooke, 2025). This is particularly evident amongst the younger demographic where a recent study by the Beer Institute found that 61% of Gen Z and Millennial consumers preferred low-to-non alcoholic options (Gribbins, 2025). To keep in line with these trends we will explore some innovative offerings that can be added to our craft beer lineup when we discuss innovation strategies in the next phase of this project. Back Bay is known for its high-end, premium dining culture which means

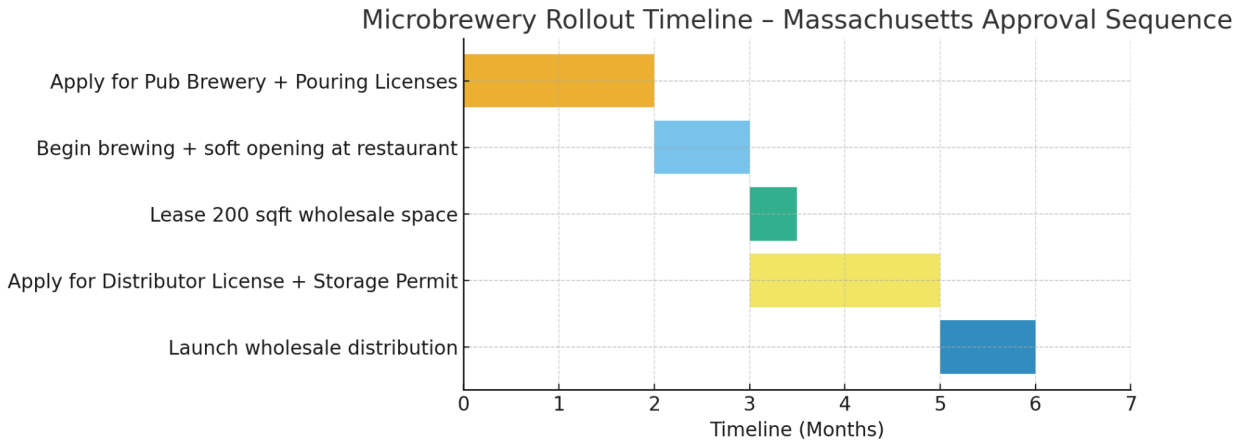
consumers going there seek elevated and authentic experiences for which they are willing to pay more, rather than volume drinking.

On the technology front, upon gathering enough data on the different craft beers' purchase volumes after the initial launch, we can implement an AI-based predictive model for more accurate demand forecasting to align brewed batches with seasonality and reduce wastage. Social media campaigns, as described earlier, can showcase "behind-the-brew" stories and chef-led pairing videos for an immersive connection between the customer and the product.

Environmental awareness is increasingly influencing consumer behavior, with consumers even willing to pay up to 30% more for sustainable brews (Sustainable Brands, 2024). We can capitalize on this using a "Farm-to-Glass, Farm-to-Table" concept where we will aim to source local New England grains, honey, and herbs thereby reducing transportation-related emissions and supporting local agriculture. Furthermore, we can leverage economies of scope by using raw materials for both craft beers and the food. For example, honey from local farms can be featured in both the glaze in dishes and the ales. Repurposing spent grains from the beer production for dishes like cornbread, biscuits, or desserts will help reinforce our eco-culinary journey and sustainability credentials through the idea of "Zero-Waste Pairings" while curbing cost of production thus increasing economic value created.

To comply with Massachusetts' legal requirements for operating an in-house microbrewery, the restaurant will need to obtain an Alcoholic Beverages Pub Brewery License (ABCC) to manufacture the craft beer and a Section 12 On-premises Pouring License to serve that beer in-house. An Alcoholic Beverages Storage Permit and Alcoholic Beverages Distributor License (ABCC) are also needed to support the wholesale operation in terms of storing the beers and

selling to licensed retailers and wholesalers. It would be best to stagger the retail and wholesale licenses by applying for the Pub Brewery and Pouring licenses first, followed by the Storage Permit and Distributor License. This will ensure retail sales can start generating income before wholesale expenses, acting as a safeguard against multi-licensing processing bottlenecks, thus preventing the microbrewery operation from fully pausing. A live operational brewing facility within the restaurant, along with the additional 200 square feet of warehouse storage space are required in the application of the Distributor License. The suggested risk-mitigated approval timeline, based on average processing time in Massachusetts, can be seen in the figure below.



Licensing rollout timeline

Importantly, with no set maximum production limits imposed for pub breweries in Massachusetts, there is flexibility for future growth.

SWOT Analysis

Buttermilk & Bourbon holds several strategic strengths that create a solid foundation for launching a microbrewery. Its established brand and prime location in Boston's Back Bay provide high visibility and access to a loyal, high-traffic customer base. The restaurant's

chef-driven identity and culinary expertise in Southern food create a strong value proposition that can be authentically extended into the craft beer market. Additionally, its operational experience managing a full-service restaurant and bar reinforces readiness for a new beverage venture.

The restaurant already holds a liquor license and operates a well-equipped bar, which reduces startup barriers for integrating beer production. Its niche Southern-inspired cuisine and strong community presence further strengthen opportunities to generate excitement and loyalty around the new concept of complementary craft beers. Buttermilk & Bourbon's experiential brand is another core strength-hosting ticketed events such as the "Down and Dirty Dinner Club" and themed menu nights that merge dining, entertainment, and exclusivity. The space's flexible layout, including cocktail areas, patios, and private rooms, supports diverse customer engagement. Branded merchandise, such as apparel and cookbooks, further extends its chef-owned brand identity.

Despite these advantages, the restaurant faces internal challenges. A lack of direct brewing experience could create operational hurdles in early stages. Launching a brewery is also capital intensive, requiring investment in brewing equipment, infrastructure, and specialized staff. Space limitations in Back Bay properties could constrain brewing capacity and scalability. Furthermore, expanding from a cocktail-centered brand into craft beer risks brand dilution if not carefully managed. Given its current identity and customer expectations, strategic alignment between the bar's cocktail culture and the new brewery concept will be essential. To prevent dilution, we will emphasize differentiation with balance by positioning cocktails and beers as complementary

experiences. Cocktails will embody vibrant and creative fruity flavor profiles whereas the craft beers deliver a more hearty indulgent experience, ensuring clear differentiation under one cohesive brand narrative.

Boston's strong craft beer culture presents a promising opportunity for Buttermilk & Bourbon to extend its brand into locally brewed offerings. The market favors authenticity, small-batch production, and experiential dining, all areas where the restaurant excels. While overall beer volume growth has slowed, the craft sector continues to gain in retail dollar value, signaling sustained demand for premium, experience-driven products (Brewers Association, 2025; Craft Brewing Business, 2025). By emphasizing unique food-beer pairings and event-based marketing, the restaurant can differentiate itself as a destination experience. Strategic collaborations with local brewers and participation in beer festivals can expand visibility and foster community ties, aligning the brand with Boston's vibrant hospitality scene.

However, Boston's craft beer market is both mature and highly competitive, making market entry particularly challenging. Regulatory complexity further compounds these difficulties, as breweries must secure costly approvals from the Massachusetts Alcoholic Beverages Control Commission (ABCC) and the Boston Licensing Board, processes that often require multiple hearings, public notices, and several months of review. Additional zoning, health, and fire permits also add to administrative burdens and increase startup costs (Boston Licensing Board, 2024; Massachusetts Alcoholic Beverages Control Commission, 2024; Fogelman Law Firm, 2024). Macro-level threats such as economic downturns and shifts in consumer spending habits

may further constrain profitability, as discretionary spending on dining and craft beverages tends to decline during uncertain periods. Moreover, expanding into a new product category presents a potential brand reputation risk; any inconsistency in product quality or service could undermine the restaurant's established image. Mitigating these threats through proactive strategic planning, strong risk management practices, and consistent operational standards will be essential to maintaining brand integrity and ensuring long-term success in Boston's competitive craft beer landscape.

Financial Management

Break-even Analysis

A break-even analysis was conducted to determine the minimum sales revenue required for Buttermilk & Bourbon's in-house microbrewery to cover its total operating expenses and begin generating profit. This analysis helps assess the project's financial feasibility and guides decision-making related to production, pricing, and marketing strategy.

The calculation uses the restaurant's fixed costs, which include general and administrative expenses ($48,500), rent ($6,000), insurance, permits & licensing ($8,400), and depreciation bringing total fixed operating costs to $54,500 for FY1. In addition, the restaurant has a marketing expenditure of $107,900 (10% of FY1 revenue) and an annual loan repayment of $73,548, corresponding to a 3-year, $200,000 loan at 6.5% interest.

The average variable cost per unit (materials $0.38, labor $0.30, other $0.25) totals $0.93 per beer. The average retail price is $9.50, while the wholesale price averages $2.45. Based on the

FY1 sales mix (39.5% retail, 60.5% wholesale), the blended contribution margin ratio (CMR) is:

$(0.395 \times 0.902) + (0.605 \times 0.621) = 0.732$ (73.2%)

Formulae used:

- Break-Even Sales = Fixed Costs ÷ Contribution Margin Ratio
- Break-Even Units = Fixed Costs ÷ (Selling Price − Variable Cost per Unit)

Results:

- Operating Break-Even (G&A + Rent): 54,500 ÷ 0.732 = $74,600
- Operating + Marketing Break-Even: (54,500 + 107,900) ÷ 0.732 = $221,900
- Cash Break-Even (with Debt): (162,400 + 73,548) ÷ 0.732 = $322,300

These results indicate that the microbrewery must generate roughly $74,600 in sales to cover its core operations, about $221,900 to include marketing costs, and approximately $322,300 to fully meet annual debt obligations.

Given that projected Year 1 sales exceed these levels, the financial outlook remains strong. The higher annual loan repayment slightly raises the cash break-even threshold but ensures the debt is cleared within three fiscal years, aligning with the simulation timeline. Once sales surpass $322,000, all operating, marketing, and financing obligations are covered, and the business begins generating profit.

What-if Analysis

A what-if analysis examines the impact of changing variables on the outcome of a model. The analysis we conducted for Buttermilk & Bourbon suggests that maintaining a premium pricing of $9-10 per pint creates a balance between profitability and market positioning. The restaurant's reputation within the Backbay area supports a pricing strategy that is more focused on value perception than price competition.

What if - Scenario Analysis

Here, we have conducted a what- if scenario analysis to determine what our revenue would be looking like had we kept the pricing strategy similar to the rest of the market and not kept it on the premium end. We have also applied a goal seek analysis to understand how much production would be required at a lower price for us to reach the current pricing gross profit.

Metric	Low Tier Pricing	Current Pricing
Price per unit	6.5	9.5
Variable cost	0.84	0.84
Units of production	238080	238080
Fixed costs	574358.76	574358.76
Total revenue	1547520	2261760
Total Variable cost	199987.2	199987.2
Total Cost	774345.96	774345.96
Gross Profit	773174.04	1487414.04

Scenario Analysis

As we can see, the current pricing is much more profitable. By charging $9.50 per unit instead of $6.50, the gross profit nearly doubles on the same volume of sales (the gross profit increases by more than $714,000). This analysis shows the immediate positive impact of our premium pricing strategy on our profits when we keep the sales volume constant.

What if - Goal seek Analysis

By using a Goal seek analysis, we can figure out the required units of production needed for the low tier price ($6.50) to yield the same targeted net profit as the current price scenario.

Metrics	Current Price	Low Tier Price
Price Per Unit	9.50	6.5
Variable Cost	0.84	0.84
Fixed Cost	5,74,358.76	5,74,358.76
Units of Production	2,38,080	3,64,271
Contribution Margin	8.66	5.66
Targeted Net Profit	14,87,414.04	14,87,414.04
Calculated EBT/Profit	14,87,414.04	1487414

Goal Seek Analysis

We kept the units of production as the "changing cell" and the targeted net profit as the "set to" number while keeping the gross profit (calculated EBT) changeable. This helped us determine the difference between both the prices when it comes to achieving the same profit. Our current pricing strategy achieves the target profit within 238,080 units while it takes the low tier piece 364,271 units to reach the same number.

Switching to lower cost ($6.50) would result in a high increase of 53% in the sales volumes which equates to almost 126,000 extra units just to breakeven with the current profit level.

Conclusion

In the second half of this project we will focus on crafting a well-structured operational plan where we will craft a detailed plan on how to staff the restaurant to manage the microbrewery system, oversee the marketing plan and undertake the distribution of the wholesale products to successfully launch and run this in-house microbrewery. Given the plateauing growth of this industry, we will consider innovation as a key aspect of a successful launch in the next phase, exploring options such as limited edition brews and low-to-non alcoholic options which can further create brand exclusivity and enable us to differentiate while staying aligned with shifting consumer preferences and emerging trends.

Appendix

Beer	Menu Matches	Flavor Profile
Light Wheat	Seafood (tuna, swordfish), shrimp & grits, fried green tomatoes, salads, fruit desserts	Smooth, slightly fruity or citrusy
Pilsner	Oysters, shrimp cocktail, fried chicken, fries, salads	Crisp, light and highly carbonated
Nut Brown Ale	Ribs, mac & cheese, biscuits, collard greens, bread pudding, beignets	Malty, nutty, caramel tones
Red Wheat	Cajun, BBQ shrimp, fried chicken, grits	Balanced between malt sweetness and gentle spice
Bavarian Lager	Mac & cheese, nashville hot chicken slides, pulled pork sandwich, biscuits	Smooth, malty, slightly sweet with mild hop bitterness
Pale Ale	Hot chicken, buffalo corn, sliders, Cajun-spiced items	Moderate hops, bright citrus, refreshing bitterness

Figure 1: Food and beer pairings and flavor profiles

Product Name & Description								
Product ID	Product Distribution	Product Name	Material	Labour	Other	Price	Cut Off	Units
BR-1	wholesale	Pilsner	0.38	0.30	0.25	2.25	0.80	1.00
BR-2	wholesale	Bavarian Lageer	0.38	0.30	0.25	2.70	0.80	1.00

BR-3	retail	Light Wheat	0.38	0.30	0.25	9.00	0.80	1.00
BR-4	retail	Red Wheat	0.38	0.30	0.25	9.00	0.80	1.00
BR-5	retail	Pale Ale	0.38	0.30	0.25	10.00	0.80	1.00
BR-6	retail	Nut Brown Ale	0.38	0.30	0.25	10.00	0.80	1.00
BR-7	retail	Pilsner	0.38	0.30	0.25	9.00	1.00	1.00
BR-8	retail	Bavarian Lager	0.38	0.30	0.25	10.00	1.00	1.00

Figure 2: Beer Product Name & Prices

Advertising Cost			
Name	**Budget FY1**	**Budget FY2**	**Budget FY3**
Digital Media Firm	$34,500.00	1.15	1.15
Trade Shows	$14,500.00	1.35	1.0
Launch Tasting Event	$19,500.00	1.05	1.05
PR & Media Outreach	$2400.00	1.0	1.0
Local Events & Engagement	$15,000.00	1.0	1.0
Local Sponsorships	$19,500.00	1.15	1.15

Out-of-Home Advertising	$2500.00	1.05	1.05
Total	**$107,900.00**	**$122,175.00**	**$132,645.00**

Figure 3: Advertising Costs Breakdown Table

Estimated Cost Breakdown per Festival (Boston, MA)			
Expenses	**Description**	**Estimated Cost Per Event**	**Notes**
Vendor Booth Fee	Standard vendor space at local beer/food festivals	$1500.00	Typical fee for Boston markets/festivals.
Temporary Food Vendor Permit	Boston temporary health/food permit	$30/day	Boston Public Health Commission (2024).
Transportation & Fuel	Delivery van/gas for beer kegs, tap setup, supplies	$200.00	Round trip estimates for local events.
Setup & Breakdown Labor	Staff time for setup, service, cleanup (2-3 staff)	$600.00	Includes hourly pay+tips for a full day festival. Boston's minimum wage: $15.00. (Massachusetts Department of Labor Standards). Full day festival ranges from 3-5 hours.
Marketing Collateral	Branded tents, signage, sampling cups, flyers	$400.00	Reusable signage amortized across multiple events.
Craft Beer Sampling Costs	Product costs for samples and small plates	$250.00	Small batch samples to encourage restaurant visits.
Licensing &	City/vendor alcohol	$120.00	Per event average

Insurance	license, liability coverage		based on one day permits and insurance riders (City of Boston, 2024).
Total Estimated Cost Per Festival = $3000.00 **Total Annual Cost (5 Festivals) = $15,000.00**			

Figure 4: Estimated Cost Breakdown of Festivals in Boston

Permit type	Price
Alcoholic Beverages Pub brewery license	$1000
Section 12 on-premises pouring license	$1900
Alcoholic Beverage Storage Permit	$2000
Alcoholic Beverage Distributor license	$3500

Figure 5: Permits and Licenses Breakdown Table

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